PACIFIC PUBLIC MEDIA
(KNKX)

FINANCIAL REPORT

MAY 31, 2019

C O N T E N T S

petersonsullivan LLP
Certified Public Accountants
& Advisors

INDEPENDENT AUDITORS' REPORT

To the Board of Directors
Pacific Public Media
Seattle, Washington

We have audited the accompanying financial statements of Pacific Public Media ("KNKX"), which comprise the statements of financial position as of May 31, 2019 and 2018, and the related statements of activities, functional expenses, and cash flows for the years then ended, and the related notes to the financial statements.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audits. We conducted our audits in accordance with auditing standards generally accepted in the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of KNKX as of May 31, 2019 and 2018, and the changes in its net assets and its cash flows for the years then ended, in accordance with accounting principles generally accepted in the United States.

Peterson Sullivan L.L.P.

October 15, 2019

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PACIFIC PUBLIC MEDIA (KNKX)

STATEMENTS OF FINANCIAL POSITION

May 31, 2019 and 2018

ASSETS	2019	2018
Current Assets		
Cash	$ 2,553,639	$ 2,873,108
Underwriting receivables	305,606	365,056
Contributions receivable, net	1,071,506	922,470
Tenant improvement receivable	104,844	
Prepaid expenses	133,176	91,793
Total current assets	4,168,771	4,252,427
Construction in Progress - Tacoma Station	2,031,494	
Contributions Receivable - Tacoma Station, net	475,784	
Software and Equipment, net	136,104	157,006
Contributed Use of Facilities Receivable	5,839	75,835
Identifiable Intangible Assets, net	7,936,795	7,958,467
Total assets	$ 14,754,787	$ 12,443,735

LIABILITIES AND NET ASSETS		
Current Liabilities		
Accounts payable and accrued expenses	$ 160,836	$ 173,774
Salaries and benefits payable	127,805	174,631
Deferred underwriting	17,365	9,920
Total current liabilities	306,006	358,325
Deferred Underwriting - PLU	718,490	818,490
Lease Incentive Liability	209,688	
Total liabilities	1,234,184	1,176,815
Net Assets		
Without donor restrictions	10,640,070	10,187,287
With donor restrictions	2,880,533	1,079,633
Total net assets	13,520,603	11,266,920
Total liabilities and net assets	$ 14,754,787	$ 12,443,735

See Notes to Financial Statements

PACIFIC PUBLIC MEDIA (KNKX)

STATEMENTS OF ACTIVITIES

For the Years Ended May 31, 2019 and 2018

	2019			2018		
	Without Donor Restrictions	With Donor Restrictions	Total	Without Donor Restrictions	With Donor Restrictions	Total
Revenue and Support						
Listener support	$ 4,667,194	$ 1,095,098	$ 5,762,292	$ 4,514,987	$ 922,470	$ 5,437,457
Bequests				190,302		190,302
Grants	27,500	100,000	127,500	20,000	100,027	120,027
Community service grant from Corporation for Public Broadcasting	210,040		210,040	545,776		545,776
Underwriting	2,203,401		2,203,401	2,499,198		2,499,198
In-kind contributions	39,417		39,417	395,733		395,733
Other income	83,454		83,454	55,851		55,851
Net assets released from restrictions	1,059,778	(1,059,778)		492,900	(492,900)	
Total revenue and support	8,290,784	135,320	8,426,104	8,714,747	529,597	9,244,344
Expenses						
Program services						
Programming and production	3,347,616		3,347,616	3,034,787		3,034,787
Broadcasting and engineering	1,166,226		1,166,226	1,316,049		1,316,049
Program information and promotion	164,839		164,839	489,620		489,620
	4,678,681		4,678,681	4,840,456		4,840,456
Supporting services						
General and administrative	622,870		622,870	847,007		847,007
Fundraising and membership development	1,790,338		1,790,338	1,945,288		1,945,288
Amortization	21,672		21,672	21,672		21,672
	2,434,880		2,434,880	2,813,967		2,813,967
Total expenses	7,113,561		7,113,561	7,654,423		7,654,423
Change in net assets before Tacoma station campaign	1,177,223	135,320	1,312,543	1,060,324	529,597	1,589,921
Tacoma Station Capital Campaign Contributions		1,665,580	1,665,580			
Tacoma Station Capital Campaign Expenses	(724,440)		(724,440)			
Change in net assets	**452,783**	**1,800,900**	**2,253,683**	**1,060,324**	**529,597**	**1,589,921**
Net Assets, beginning of year	10,187,287	1,079,633	11,266,920	9,126,963	550,036	9,676,999
Net Assets, end of year	$ 10,640,070	$ 2,880,533	$ 13,520,603	$ 10,187,287	$ 1,079,633	$ 11,266,920

See Notes to Financial Statements

PACIFIC PUBLIC MEDIA (KNKX)

STATEMENT OF FUNCTIONAL EXPENSES

For the Year Ended May 31, 2019

	Program Services				Supporting Services					
	Programming and Production	Broadcasting and Engineering	Program Information and Promotion	Total Program Services	General and Administrative	Fundraising and Membership Development	Amortization	Total Supporting Services	Tacoma Station	Total
Salaries, payroll taxes, and benefits	$ 1,888,849	$ 341,864	$ -	$ 2,230,713	$ 367,920	$ 518,559	$ -	$ 886,479	$ 437,949	$ 3,555,141
Professional and contract fees	1,314,350	36,665	18,625	1,369,640	134,994	965,230		1,100,224	186,387	2,656,251
Occupancy and tower leases		499,279		499,279		3,203		3,203		502,482
Information technology	7,830	182,502	21,760	212,092		195		195	3,063	215,350
Events and marketing	2,345		109,449	111,794	6,249	15,441		21,690	14,163	147,647
Postage and shipping	940	630	3,529	5,099	1,457	97,704		99,161	11,199	115,459
Travel	24,601	13,322	2,532	40,455	8,320	49,970		58,290	201	98,946
Bank service charges						86,856		86,856		86,856
Equipment, repairs, and maintenance		34,121		34,121					51,782	85,903
All Things Considered Project	67,312			67,312						67,312
License, fees, and permits		42,186		42,186	325	63		388	16,895	59,469
Dues and subscriptions	21,953	2,132		24,085	340	13,616		13,956		38,041
Bad debt					35,427			35,427		35,427
Supplies	1,493	8,467	2,904	12,864	10,206	8,211		18,417	1,901	33,182
Miscellaneous						28,642		28,642		28,642
Insurance					24,972			24,972		24,972
Amortization							21,672	21,672		21,672
Depreciation	15,971	1,259		17,230	1,888	1,784		3,672		20,902
Legal services					13,410			13,410		13,410
Advertising	857		6,040	6,897	4,527	750		5,277	900	13,074
Conferences					10,819			10,819		10,819
Office expense	1,115	3,799		4,914	2,016	114		2,130		7,044
Total expenses	3,347,616	1,166,226	164,839	4,678,681	622,870	1,790,338	21,672	2,434,880	724,440	7,838,001
Less: Tacoma station expenses									(724,440)	(724,440)
Total expenses included in the statements of activities	$ 3,347,616	$ 1,166,226	$ 164,839	$ 4,678,681	$ 622,870	$ 1,790,338	$ 21,672	$ 2,434,880	$ -	$ 7,113,561

See Notes to Financial Statements

PACIFIC PUBLIC MEDIA (KNKX)

STATEMENT OF FUNCTIONAL EXPENSES

For the Year Ended May 31, 2018

	Program Services				Supporting Services				
	Programming and Production	Broadcasting and Engineering	Program Information and Promotion	Total Program Services	General and Administrative	Fundraising and Membership Development	Amortization	Total Supporting Services	Total
Salaries, payroll taxes, and benefits	$ 1,752,210	$ 415,852	$ -	$ 2,168,062	$ 552,935	$ 614,782	$ -	$ 1,167,717	$ 3,335,779
Professional and contract fees	1,198,303	16,761	99,202	1,314,266	127,599	854,843		982,442	2,296,708
Occupancy and tower leases		441,145		441,145					441,145
Advertising (including in-kinds of $395,733)			362,629	362,629	1,500	35,839		37,339	399,968
Information technology	10,647	290,327	8,526	309,500	31,550	176		31,726	341,226
Postage and shipping		3,209	7,614	10,823	209	232,920		233,129	243,952
Bank service charges						129,661		129,661	129,661
Supplies	1,669	13,322	5,840	20,831	8,089	48,605		56,694	77,525
Legal services					56,945			56,945	56,945
Office expense	738	44,740		45,478					45,478
Repairs and maintenance		44,643		44,643					44,643
Travel	21,995	13,507	2,706	38,208	3,219	1,407		4,626	42,834
Dues and subscriptions	23,079	30		23,109	680	10,269		10,949	34,058
License, fees, and permits		31,700		31,700	778			778	32,478
Insurance					24,025			24,025	24,025
Amortization							21,672	21,672	21,672
Events and marketing			3,103	3,103	4,851	11,611		16,462	19,565
All Things Considered Project	18,699			18,699					18,699
Conferences	7,447	813		8,260	2,607	5,175		7,782	16,042
Bad debt					32,020			32,020	32,020
Total expenses	$ 3,034,787	$ 1,316,049	$ 489,620	$ 4,840,456	$ 847,007	$ 1,945,288	$ 21,672	$ 2,813,967	$ 7,654,423

See Notes to Financial Statements

PACIFIC PUBLIC MEDIA (KNKX)

STATEMENTS OF CASH FLOWS

For the Years Ended May 31, 2019 and 2018

	2019	2018
Cash Flows from Operating Activities		
Change in net assets	$ 2,253,683	$ 1,589,921
Adjustments to reconcile change in net assets to net cash flows from operating activities		
Contributions for Tacoma station capital campaign	(1,665,580)	
Depreciation	20,902	
Amortization	21,672	21,672
Changes in operating assets and liabilities		
Underwriting receivables	59,450	(8,777)
Contributions receivable, net	(149,036)	(518,267)
Tenant improvement receivable	(104,844)	
Prepaid expenses	(41,383)	(735)
Contributed use of facilities receivable	69,996	69,998
Accounts payable and accrued expenses	(12,938)	27,800
Salaries and benefits payable	(46,826)	48,874
Deferred underwriting	(92,555)	(104,104)
Net cash flows from operating activities	312,541	1,126,382
Cash Flows from Investing Activities		
Purchases of software and equipment		(157,006)
Construction in progress - Tacoma station capital campaign	(1,821,806)	
Net cash flows from investing activities	(1,821,806)	(157,006)
Cash Flows from Financing Activity		
Cash collected for Tacoma station	1,189,796	
Net change in cash	**(319,469)**	**969,376**
Cash, beginning of year	2,873,108	1,903,732
Cash, end of year	$ 2,553,639	$ 2,873,108

See Notes to Financial Statements

NOTES TO FINANCIAL STATEMENTS

Note 1. Organization and Significant Accounting Policies

Organization

Pacific Public Media, incorporated January 13, 2016, and operating under KNKX 88.5 FM ("KNKX"), is a nonprofit corporation providing public radio programming and services to the Puget Sound region. KNKX broadcasts from its Seattle and Tacoma stations.

KNKX prides itself as being the region's best leading source of jazz, blues, and in-depth local and national news, available 24 hours a day online, through a cell phone application, or on the radio. KNKX also provides a full-time streaming jazz service, Jazz24. Broadcasting around the world, Jazz24 reaches a worldwide audience and further spreads the American music genre of jazz to new and old listeners alike.

Financial Statement Presentation

KNKX reports information regarding its financial position and activities according to two classes of net assets: without donor restrictions and with donor restrictions. Contributions restricted by time or program are reported as net assets with donor restrictions and are then reclassified to net assets without donor restrictions when the restrictions are met.

Board-Designated Net Assets

KNKX has an operating reserve of $693,439 that is designated by the board and included within net assets without donor restrictions at May 31, 2019. There were no board-designated net assets at May 31, 2018.

Net Assets with Donor Restrictions

Net assets with donor restrictions consist of the following at May 31:

	2019	2018
Construction of Tacoma station	$ 1,665,580	$ -
All Things Considered broadcasting	114,016	81,328
Contributed use of facilities	5,839	75,835
Time-restricted listener support	1,095,098	922,470
	$ 2,880,533	$ 1,079,633

Contributed use of facilities represents unamortized use of facilities receivable to be recognized as rent expense in future years (see Note 3). Time-restricted listener support represents contributions scheduled by the listener to be received in the following year. KNKX has elected to report net assets with donor restrictions whose restrictions are met in the same period they are received as being without donor restrictions.

Use of Estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States requires management to make estimates and assumptions that affect certain reported amounts and disclosures. Actual results could differ from the estimated amounts.

Cash

Cash consists of cash held in banks. At times during the year, KNKX has cash in banks in excess of the FDIC insurance limits. To mitigate this risk, management believes it has selected financially sound banks to hold its funds.

Receivables

Almost all underwriting fees come from companies located in the Pacific Northwest. These receivables are stated at their outstanding principal balances.

Unconditional promises to give (contributions receivable) that are expected to be collected in one year are recorded at net realizable value. Contributions receivable over periods in excess of one year are initially recorded at fair value including assumptions about expected year of collection, estimated allowance, and donor-specific discount rates. For the year ended May 31, 2019, contributions receivable from two donors made up 26% of total receivables at year-end.

Management reviews underwriting and contributions receivable on a regular basis and establishes an allowance for accounts that may not be collectible. Any amounts written off are charged against the allowance. Management determined an allowance for uncollectible underwriting receivable was not necessary at May 31, 2019 or 2018. Management has recognized an allowance for uncollectible contributions receivable of $151,288 and $146,493 at May 31, 2019 and 2018, respectively.

Property, Software, and Equipment

KNKX capitalizes expenditures for software and equipment at cost or, if donated, at the estimated fair value at the time of receipt. KNKX capitalizes software and equipment purchases with a cost or donated value of greater than $10,000 and a useful life in excess of one year. Depreciation and amortization is computed using the straight-line method over the estimated useful life for all software and equipment. All tenant improvements related to the construction on the new Tacoma station recorded at May 31, 2019, are not yet placed in service; therefore, no depreciation or amortization has been recognized.

Identifiable Intangible Assets

Identifiable intangible assets are stated at cost and consist of the following at May 31:

	2019	2018
Jazz24 trademark	$ 65,000	$ 65,000
Accumulated amortization	(63,205)	(41,533)
	1,795	23,467
FCC licenses	7,935,000	7,935,000
	$ 7,936,795	$ 7,958,467

The Jazz24 trademark and FCC licenses were acquired in 2016 from Pacific Lutheran University ("PLU"). The Jazz24 trademark has an estimated useful life of three years and is amortized on a straight-line basis over the life of the asset. Amortization is expected to be $1,795 next year, and the trademark will then be fully amortized. The FCC licenses have an indefinite life and, therefore, are not amortized. Intangible assets are reviewed at least annually for potential impairment.

Revenue

Listener support represents unconditional amounts given or pledged by individuals and are recognized in the period received. Subscription revenue are automatically renewing pledges and included within listener support. Subscriptions are recognized for a 12-month period as of the renewal date of the initial commitment, as subscriptions may be canceled at any time by the donor. During the years ended May 31, 2019 and 2018, KNKX received $339,659 and $114,358 in contributions from related parties, respectively.

Grant revenue from the Corporation for Public Broadcasting represents unrestricted funding to support general operations. All grant revenue is recognized as revenue when the grant is awarded unless there are conditions placed on the grant by the donor.

Bequests are recognized when KNKX is notified by the executor as to the amount to be received and the estate has cleared probate.

Underwriting fees are recognized when the related programming is aired. Underwriting fees received in advance are recognized as deferred underwriting.

In-Kind Contributions

Donated services and supplies are recognized at their estimated fair value in the financial statements. In-kind advertising of $39,417 and $359,894 was received from one donor for the years ended May 31, 2019 and 2018, respectively. In addition, many individuals volunteer their time and perform a variety of tasks for KNKX, but these services do not meet the criteria for recognition in the financial statements as contributed services.

Functional Allocation of Expenses

The costs of providing the various programs and other activities have been summarized on a functional basis in the statements of activities and functional expenses. Accordingly, certain costs have been allocated among the programs and supporting services benefited. Occupancy, depreciation, and amortization expenses are allocated on a square-footage basis. Expenses such as salaries and wages, benefits, payroll taxes, professional services, office expenses, information technology, insurance, and other are allocated to their functional areas based on estimated time and effort.

Income Taxes

KNKX is exempt from federal income taxes under Section 501(c)(3) of the Internal Revenue Code.

Recent Accounting Pronouncement Adopted

During the year ended May 31, 2019, KNKX adopted the provisions of Accounting Standards Update ("ASU") No. 2016-14, Not-for-Profit Entities (Topic 958) – Presentation of Financial Statements of Not-for-Profit Entities. The update addresses the complexity and understandability of net asset classifications, deficiencies in information about liquidity and availability of resources, and the lack of consistency in the type of information provided about expenses and investment return. KNKX has adjusted the presentation of these statements accordingly. The ASU has been applied retrospectively to all periods presented, except for the liquidity and availability of resources note (see Note 2).

Subsequent Events

KNKX has evaluated subsequent events through the date these financial statements were available to be issued, which was October 15, 2019.

Note 2. Liquidity and Availability of Resources

KNKX strives to maintain liquid financial assets sufficient to cover 90 days of general expenditures. The general expenditures include costs to run programs, fundraise, perform underwriting services, and other contractual obligations. Financial assets in excess of daily cash requirements will be invested in certificates of deposit, money market funds, and other short-term investments (beginning in 2021).

KNKX manages its cash available to meet general expenditures following three guiding principles:

- Operating within a prudent range of financial soundness and stability,
- Maintaining adequate liquid assets, and
- Maintaining sufficient reserves to provide reasonable assurance that long-term mission fulfillment will continue to be met, ensuring the sustainability of the organization.

The following table reflects KNKX financial assets as of May 31, 2019, reduced by amounts that are not available to meet general expenditures within one year of the statement of financial position date because of contractual restrictions, donor restrictions, or internal board designations. KNKX has board-designated funds held for an operating reserve. In the event that the need arises to utilize board-designated funds for liquidity purposes, these reserves could be drawn upon through board resolution.

Financial assets at year-end	
Cash and cash equivalents	$ 2,553,639
Underwriting receivables	305,606
Contributions receivable, net	1,071,506
Contributions receivable - Tacoma station, net	475,784
Total financial assets	4,406,535
Board-designated reserve	(693,493)
Donor-restricted for time or purpose	(2,880,533)
Total financial assets available to meet cash needs for general expenditures within one year	$ 832,509

Note 3. Contributed Use of Facilities

KNKX leased office space from PLU under an operating agreement that expired in June 2019. Upon execution of the lease, KNKX recognized an in-kind contribution of use of facilities for the fair value of leased premises for the noncancelable lease period totaling $204,167. A discount was not recognized on the long-term pledge as the amount was not material. The contributed use of facilities receivable is amortized on a straight-line basis over the lease term to rent expense (included in occupancy on the statements of functional expenses). Rent expense under this lease was $69,996 and $69,998 during the years ended May 31, 2019 and 2018, respectively. The aggregate unamortized balance of the contributed use of facilities receivable was $5,839 at May 31, 2019.

In September 2018, KNKX entered into a new lease agreement for office and broadcasting space in Tacoma, Washington, which replaced the leased space at PLU when the lease expired in June 2019. The new lease is effective July 2019, with a 10-year term including four five-year options to extend (for a total available lease period of 30 years). The landlord has agreed to cover tenant improvements up to $209,688. Therefore, KNKX recorded a lease incentive liability related to these leasehold improvements, which will be amortized over the term of the lease as a reduction to rent expense. See Note 5 for future minimum rent payments.

Note 4. Deferred Underwriting – PLU

Under terms of the Asset Purchase Agreement ("the Agreement") with PLU in 2016 (see Note 1), KNKX paid $7 million in cash and was obligated to provide $1 million of underwriting services to PLU. Under the Agreement, up to $100,000 of underwriting is to be provided per year for 10 years, with an allowed unused carryover amount of $10,000 per year. Underwriting in excess of $100,000 per year will reduce the following year's allocation. Underwriting performed under the Agreement during the years ended May 31, 2019 and 2018, was $100,000 and $101,585, respectively. The remaining deferred obligation is $718,490 and $818,490 at May 31, 2019 and 2018, respectively.

Note 5. Operating Leases

KNKX leases its Seattle office and broadcasting station under a noncancelable lease that expires in June 2020. Lease payments are adjusted annually for changes in the Consumer Price Index. Lease expense under this lease during the years ended May 31, 2019 and 2018, was $170,471 and $162,881, respectively. In addition, lease expense related to the new Tacoma station lease described in Note 3 was $27,322 in 2019. Future minimum lease payments under these leases (assuming no Consumer Price Index adjustment) are as follows for the years ending May 31:

2020	$ 339,617
2021	196,732
2022	186,881
2023	191,178
2024	195,582
Thereafter	989,991
	$ 2,099,981

KNKX leases equipment and facilities for the purpose of transmitting at 12 separate locations (in addition to its Seattle and Tacoma stations). Terms range from month-to-month to an expiration in June 2030, and generally require monthly or annual payments with fixed annual increases. Lease expense under these leases during the years ended May 31, 2019 and 2018, was $215,167 and $208,267, respectively.

Future minimum lease payments under these leases are as follows for the years ending May 31:

2020	$ 178,411
2021	172,000
2022	158,829
2023	163,785
2024	169,965
Thereafter	787,341
	$ 1,630,331

Note 6. Retirement Plan

KNKX has a defined contribution 401(k) pension plan ("the Plan") covering employees who meet prescribed service requirements. Contributions are made in accordance with the provisions of the Plan, which require employer contributions of 3% of total compensation and, in addition, a match of employee contributions of up to 6% of compensation. During the years ended May 31, 2019 and 2018, KNKX contributed $203,493 and $199,658, respectively, to the Plan.